

MUTUAL NON-DISCLOSURE AGREEMENT

This Mutual Non-Disclosure Agreement (this "Agreement") is entered into as of the Effective Date by and between the parties identified on the signature page hereto (each, a "Party" and collectively, the "Parties"). The Parties wish to explore a potential business relationship and may exchange Confidential Information in connection therewith.

1. Definitions.

"Confidential Information" means any non-public information disclosed by one Party (the "Disclosing Party") to the other Party (the "Receiving Party"), whether orally, in writing, or in any other form, that is designated as confidential or that would reasonably be understood to be confidential given the nature of the information and the circumstances of disclosure. Confidential Information includes, without limitation, technical information, business plans, customer lists, financial data, and product roadmaps.

1.1 Exclusions.

Confidential Information does not include information that (a) is or becomes generally available to the public other than as a result of disclosure by the Receiving Party, (b) was known to the Receiving Party on a non-confidential basis prior to disclosure by the Disclosing Party, or (c) becomes available to the Receiving Party on a non-confidential basis from a source other than the Disclosing Party, provided that such source is not bound by a duty of confidentiality with respect to such information.

1.1.1 Compelled Disclosure.

If the Receiving Party is compelled by applicable law, regulation, or court order to disclose any Confidential Information, the Receiving Party shall provide the Disclosing Party with prompt written notice of such requirement, to the extent legally permitted, so that the Disclosing Party may seek a protective order or other appropriate remedy.

1.2 Marking.

Information disclosed in tangible form shall be marked "Confidential" or with a similar legend at the time of disclosure. Information disclosed orally or visually shall be identified as confidential at the time of disclosure and confirmed in writing to the Receiving Party within thirty (30) days of disclosure.

2. Obligations of the Receiving Party.

The Receiving Party agrees to (a) hold the Confidential Information in strict confidence, (b) use the Confidential Information solely for the purpose of evaluating the potential business relationship, and (c) protect the Confidential Information using the same degree of care it uses to protect its own confidential information of like importance, but in no event less than reasonable care.

2.1 Standard of Care.

The Receiving Party shall protect the Confidential Information by using the same degree of care, but no less than a reasonable degree of care, to prevent the unauthorized use, dissemination, or publication of the Confidential Information as the Receiving Party uses to protect its own confidential information of like nature.

2.2 Permitted Disclosures.

The Receiving Party may disclose Confidential Information only to its employees, agents, and professional advisors who (a) have a need to know such information for the purpose of evaluating the potential business relationship, and (b) are bound by confidentiality obligations at least as restrictive as those set forth in this Agreement.

3. Term.

This Agreement shall remain in effect for a period of five (5) years from the Effective Date. The obligations of confidentiality with respect to Confidential Information disclosed during the Term shall survive for an additional period of three (3) years following expiration or termination of this Agreement.

4. Return of Materials.

Upon termination of this Agreement, or upon written request of the Disclosing Party, the Receiving Party shall promptly return or, at the Disclosing Party's option, destroy all Confidential Information in its possession or control, including all copies, summaries, and extracts thereof, and shall certify in writing such return or destruction.

5. Governing Law.

This Agreement shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflict of laws principles. The Parties consent to the exclusive jurisdiction of the state and federal courts located in San Francisco County, California for any dispute arising out of or relating to this Agreement.

6. Entire Agreement.

This Agreement constitutes the entire agreement between the Parties with respect to the subject matter hereof and supersedes all prior agreements, understandings, negotiations, and discussions, whether oral or written, between the Parties with respect to such subject matter.

7. Notices.

All notices, requests, consents, and other communications required or permitted to be given under this Agreement shall be in writing and shall be deemed to have been duly given when delivered personally, sent by certified mail (return receipt requested), or sent by overnight courier, in each case to the addresses set forth on the signature page hereto.

8. Severability.

If any provision of this Agreement is held to be invalid, illegal, or unenforceable, the remaining provisions shall remain in full force and effect, and the Parties shall negotiate in good faith to replace the affected provision with a valid and enforceable provision that achieves the original intent.

9. Counterparts.

This Agreement may be executed in one or more counterparts, each of which shall be deemed an original, and all of which together shall constitute one and the same instrument. Signatures transmitted by facsimile or electronic means shall be deemed to be original signatures for all purposes.

10. Assignment.

Neither Party may assign this Agreement or any of its rights or obligations hereunder without the prior written consent of the other Party. Any attempted assignment without such consent shall be void. Subject to the foregoing, this Agreement shall be binding upon and inure to the benefit of the Parties and their respective successors and permitted assigns.

11. Injunctive Relief.

The Parties acknowledge that monetary damages may be inadequate to remedy a breach of this Agreement, and that the non-breaching Party shall be entitled to seek injunctive relief and other equitable remedies to prevent or restrain a breach, in addition to any other remedies available at law or in equity.

12. Residual Knowledge.

Nothing herein shall restrict the use of residual knowledge retained in the unaided memory of personnel of the Receiving Party, provided that such personnel do not intentionally memorize or compile Confidential Information for the purpose of circumventing the obligations of this Agreement.

13. Limitation of Liability.

In no event shall either Party be liable to the other for any indirect, incidental, special, or consequential damages arising out of or related to this Agreement, even if such Party has been advised of the possibility of such damages. The aggregate liability of either Party arising out of or relating to this Agreement shall not exceed one hundred thousand dollars (\$100,000).

14. Non-Solicitation.

For a period of twelve (12) months following the termination of this Agreement, neither Party shall solicit for employment any employee of the other Party with whom such Party had material contact during the Term, provided that this restriction shall not apply to general solicitations of employment not directed at such employees.

15. Indemnity.

Each Party shall indemnify and hold harmless the other Party from and against any and all losses, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to any breach of this Agreement by such Party or its employees, agents, or representatives.

15.1 Defense.

The indemnified Party shall promptly notify the indemnifying Party of any claim for which indemnification is sought, and the indemnifying Party shall assume the defense of any such claim with counsel reasonably

acceptable to the indemnified Party.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

PARTY A SIGNATURE: _____

PARTY B SIGNATURE: _____

PRINT NAME: _____